

MASTER STUDY NOTES

Chapter 1: Ten Principles of Economics

Principles of Economics, 8th Edition | N. Gregory Mankiw

Simple English • Bangladesh Examples • বাংলা সারসংক্ষেপ

INTRODUCTION

What is Scarcity?

Scarcity means society has LIMITED resources but UNLIMITED wants. We cannot have everything we want. So we must choose wisely.

- Resources = land, labour, capital, entrepreneurship
- Wants are unlimited — food, clothes, phones, education, health care ...
- Because of scarcity, every choice has a cost.

What is Economics?

Economics is the study of how society manages its scarce resources. It explains how people make decisions, how they interact with each other, and how the economy works as a whole.

BD Bangladesh Real-Life Example: A rickshaw puller has only 8 hours a day. He must decide: pull rickshaw and earn money, OR rest at home. This is scarcity — limited time, many needs.

BD বাংলা সারসংক্ষেপ:

অভাব (Scarcity) মানে হলো আমাদের সম্পদ সীমিত কিন্তু চাহিদা অসীমিত। অর্থনীতি হলো এই সীমিত সম্পদ দিয়ে কীভাবে সর্বোচ্চ সুবিধা পাওয়া যায় তা অধ্যয়ন করার বিজ্ঞান। বাংলাদেশের একজন কৃষক সীমিত জমি দিয়ে ধান বা সবজি — কোনটা চাষ করবেন তা ঠিক করতে হয়।

Why Study Economics?

- Understand how the economy around us works
- Make better personal and business decisions
- Understand government policy (taxes, subsidies, inflation)
- Help solve problems like poverty, unemployment, and inflation

Topic	What It Explains
Individual choices	Why people buy, work, save
Markets & prices	How prices are set by supply and demand
Government policy	Why subsidies, taxes, and laws matter
National economy	GDP, inflation, unemployment

BD বাংলা সারসংক্ষেপ:

অর্থনীতি পড়লে আমরা বুঝতে পারি কেন চালের দাম বাড়ে, সরকার কেন ভর্তুকি দেয়, এবং বেকারত্ব কেন হয়। এটি আমাদের ব্যক্তিগত ও জাতীয় সিদ্ধান্ত নিতে সাহায্য করে।

SECTION 1: HOW PEOPLE MAKE DECISIONS

PRINCIPLE 1 People Face Trade-offs

Simple Explanation:

To get one thing we like, we usually have to give up something else. This is called a trade-off. There is no free lunch — every decision has a cost.

Key Terms:

Term	English Meaning	বাংলা অর্থ
Trade-off	Giving up one thing to get another	এক জিনিস পেতে অন্য জিনিস ছাড়া
Efficiency	Getting the most from resources	সম্পদের সর্বোচ্চ ব্যবহার
Equality	Fair distribution among people	মানুষের মধ্যে সমান বণ্টন

Efficiency vs Equality Trade-off:

Efficiency	Equality
Economy produces maximum output	Benefits shared fairly among all
May increase inequality	May reduce total production
Focus: size of the economic pie	Focus: how the pie is divided

Guns vs Butter Concept:

A government must choose between military spending (guns) and civilian goods (butter). More guns → less butter. This is a classic trade-off of national resources.

Environment vs Income Trade-off:

More factories = more income BUT more pollution. Protecting the environment can mean less industrial income. Society must choose the right balance.

BD Bangladesh Example: The government must choose between spending on defence (army) or spending on healthcare (hospitals and medicine). If more money goes to the army, less is left for hospitals.

BD বাংলা সারসংক্ষেপ:

মানুষকে সবসময় বেছে নিতে হয় — একটি পেলে অন্যটি ছাড়তে হয়। এটাই ট্রেড-অফ। বাংলাদেশে সরকার যদি রাস্তা বানায়, তবে শিক্ষায় কম টাকা থাকে। একজন গার্মেন্টস কর্মী যদি বেশি ওভারটাইম করেন, তবে পরিবারকে কম সময় দিতে পারেন। দক্ষতা ও সমতার মধ্যে ভারসাম্য রক্ষা করাই সরকারের বড় চ্যালেঞ্জ।

PRINCIPLE 2 The Cost of Something Is What You Give Up

Simple Explanation:

The real cost of any decision is the value of the NEXT BEST THING you gave up. This is called the Opportunity Cost.

Key Terms:

Term	English Meaning	বাংলা অর্থ
Opportunity Cost	Value of the next best alternative given up	সেরা বিকল্পের মূল্য যা ছাড়তে হয়
Explicit Cost	Direct money payment (visible)	সরাসরি অর্থ প্রদান
Implicit Cost	Hidden cost, no direct payment	লুকানো খরচ, কোনো সরাসরি অর্থ নেই

Explicit vs Implicit Cost:

Explicit Cost	Implicit Cost
You pay money directly	No money paid but still a cost
Example: tuition fees for university	Example: salary lost while studying
Easy to see and measure	Hidden, must think to find it

Opportunity Cost Formula:

Opportunity Cost = Value of the Best Alternative You Did NOT Choose Example: If you study for 4 years instead of working, the opportunity cost = 4 years of salary you did not earn.

BD Bangladesh Example: A garments worker decides to quit her job (Tk. 8,000/month) to start a small tailoring business. The Opportunity Cost = Tk. 8,000/month (salary she gives up), even if she does not pay it directly.

BD বাংলা সারসংক্ষেপ:

সুযোগ ব্যয় (Opportunity Cost) হলো সেরা বিকল্পের মূল্য যা আমরা ছেড়ে দিই। যেমন কেউ যদি বিশ্ববিদ্যালয়ে পড়ার জন্য চাকরি ছেড়ে দেন, তাহলে সেই চাকরির বেতনই তার সুযোগ ব্যয়। সুযোগ ব্যয় সরাসরি টাকা না হলেও এটি একটি বাস্তব খরচ।

PRINCIPLE 3 Rational People Think at the Margin

Simple Explanation:

Rational people make decisions by comparing the extra benefit and extra cost of doing ONE MORE unit of something. This is called 'marginal thinking'.

Key Terms:

Term	English Meaning	বাংলা অর্থ
Marginal	Extra / one more unit	অতিরিক্ত / আরও একটি
Marginal Benefit (MB)	Extra benefit from one more unit	অতিরিক্ত উপকার
Marginal Cost (MC)	Extra cost of one more unit	অতিরিক্ত খরচ
Rational Decision	Choose if $MB \geq MC$	যদি লাভ $\geq$ খরচ হয় তবে করো

MB vs MC Decision Table:

Situation	MB vs MC	Decision
Extra hour of work earns Tk.200, costs Tk.50 energy	$MB > MC$	Do it! Worth it.
Extra shift earns Tk.300, but causes Tk.400 in health cost	$MB < MC$	Don't do it!
Extra unit of production earns exactly what it costs	$MB = MC$	Indifferent (optimal point)

BD Bangladesh Example: A tea stall owner sells 100 cups/day. He thinks: should I make 1 more cup? If it costs Tk. 5 (ingredients + gas) and he can sell it for Tk. 10, the marginal benefit (Tk.10) > marginal cost (Tk.5). So he makes that extra cup!

BD বাংলা সারসংক্ষেপ:

প্রান্তিক চিন্তা (Marginal Thinking) মানে হলো একটু বেশি করলে কী লাভ এবং কী ক্ষতি তা তুলনা করা। একজন যুক্তিসংগত মানুষ তখনই আরও বেশি করে যখন অতিরিক্ত লাভ অতিরিক্ত খরচের চেয়ে বেশি। বাংলাদেশে কৃষক ঠিক করেন আরও এক বিঘা জমি চাষ করা লাভজনক হবে কিনা।

PRINCIPLE 4 People Respond to Incentives

Simple Explanation:

People change their behavior when rewards or punishments change. An incentive is anything that motivates people to act. When incentives change, behavior changes.

Key Terms:

Term	English Meaning	বাংলা অর্থ
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Incentive	Reward or punishment that motivates action	পুরস্কার বা শাস্তি যা কাজ করতে উৎসাহিত করে
Positive Incentive	Reward that encourages an action	যা কাজ করতে উৎসাহিত করে
Negative Incentive	Penalty that discourages an action	যা কাজ থেকে নিরুৎসাহিত করে

Positive vs Negative Incentives:

Positive Incentive (+)	Negative Incentive (-)
Bonus pay for workers	Fine for breaking traffic laws
Subsidy for farmers growing rice	Tax on cigarettes to reduce smoking
Cash prize for exam toppers	Penalty for paying taxes late

How Policy Uses Incentives:

- Government gives subsidy on fertilizers → Farmers buy more fertilizer → More food production
- Government raises cigarette tax → Cigarettes cost more → People smoke less
- bKash offers cashback on digital payments → People use mobile banking more

BD Bangladesh Example: The government gives free seeds and fertilizers (positive incentive) to small farmers in Sylhet. Farmers then plant more crops. This increases food production and reduces food prices in the market.

BD বাংলা সারসংক্ষেপ:

মানুষ প্রণোদনায় সাড়া দেয়। পুরস্কার পেলে মানুষ বেশি কাজ করে, শাস্তির ভয়ে খারাপ কাজ কম করে। বাংলাদেশ সরকার কৃষকদের ভর্তুকি দিলে তারা বেশি উৎপাদন করেন। আবার সিগারেটে বেশি কর দিলে মানুষ কম ধূমপান করেন।

SECTION 2: HOW PEOPLE INTERACT

PRINCIPLE 5 Trade Can Make Everyone Better Off

Simple Explanation:

When people or countries trade with each other, both sides can benefit. Trade lets each person (or country) focus on what they do BEST. This is specialization.

Key Terms:

Term	English Meaning	বাংলা অর্থ
Trade	Exchange of goods or services	পণ্য বা সেবার বিনিময়
Specialization	Focus on producing one thing best	যে কাজে সেরা তা করা
Self-sufficiency	Produce everything yourself	নিজেই সব উৎপাদন করা
Comparative Advantage	Produce at lower opportunity cost	কম সুযোগ-ব্যায়ে উৎপাদন করার সুবিধা

Self-Sufficiency vs Specialization + Trade:

Self-Sufficiency	Specialization + Trade
Produce everything yourself	Focus on what you do best
Less efficient	More efficient
Lower total output	Higher total output for both
Example: isolated village growing all crops	Example: Bangladesh makes garments, imports machines

BD Bangladesh Example: Bangladesh is very good at making readymade garments (RMG). Japan is very good at making electronics. So Bangladesh exports garments to Japan, and imports electronics from Japan. Both countries are better off than making everything themselves.

BD বাংলা সারসংক্ষেপ:

বাণিজ্য সবার জন্য উপকারী। বাংলাদেশ পোশাক তৈরিতে দক্ষ, তাই সেটি রপ্তানি করে। আর প্রয়োজনীয় যন্ত্রপাতি বা তেল আমদানি করে। এভাবে উভয় পক্ষই লাভবান হয়। বিশেষায়ন (Specialization) এবং বাণিজ্য একসাথে কাজ করে সবার জীবন উন্নত করে।

PRINCIPLE 6 Markets Are Usually a Good Way to Organize Economic Activity

🔗 Simple Explanation:

A market economy lets millions of people make their own decisions about buying and selling. No central authority is needed. The 'Invisible Hand' guides everyone to good outcomes through prices.

🔑 Key Terms:

Term	English Meaning	বাংলা অর্থ
Market Economy	Economy guided by prices and free choices	দাম ও স্বাধীন সিদ্ধান্তে পরিচালিত অর্থনীতি
Invisible Hand	Prices guide resources to best use (Adam Smith)	দামের মাধ্যমে সম্পদের সর্বোত্তম বরাদ্দ
Centrally Planned Economy	Government decides what to produce	সরকার সব কিছু নিয়ন্ত্রণ করে

🕒 The Invisible Hand — Adam Smith:

Adam Smith (1776) wrote that in a free market, each person pursuing their own self-interest ends up helping society as a whole. Prices send signals. High price → producers make more → supply rises → price falls. No one plans this — it happens automatically.

🏠 Market Economy vs Centrally Planned Economy:

Market Economy	Centrally Planned Economy
Prices set by supply & demand	Prices set by government
Private ownership of resources	Government owns resources
More efficient, flexible	Often slow, inefficient
Example: USA, Bangladesh (mostly)	Example: Soviet Union (old USSR), North Korea

🏠 How a Market Works — Flow Diagram:

BUYERS want rice at low price | v MARKET PRICE is set by supply & demand | v
SELLERS produce more if price is high | v INVISIBLE HAND balances supply & demand automatically

BD Bangladesh Example: When demand for rice rises before Eid, rice prices increase. This signals to farmers to grow more rice next season. No government told them — the market price gave the signal. This is the Invisible Hand working in Bangladesh's rice market.

BD বাংলা সারসংক্ষেপ:

বাজার অর্থনীতিতে দাম নিজেই সিদ্ধান্ত নেয় কী উৎপাদন হবে। অ্যাডাম স্মিথের 'অদৃশ্য হাত' বলে, প্রতিটি মানুষ নিজের স্বার্থে কাজ করলেও সমাজের উপকার হয়। বাংলাদেশের চালের বাজারে এটি দেখা যায় — দাম বাড়লে কৃষক বেশি চাষ করেন, দাম কমলে কম করেন।

PRINCIPLE 7 Governments Can Sometimes Improve Market Outcomes

Simple Explanation:

Markets are usually good but not perfect. Sometimes markets fail. When they fail, governments can step in to fix the problem and improve outcomes for society.

Key Terms:

Term	English Meaning	বাংলা অর্থ
Market Failure	When the market produces a bad outcome	বাজার যখন ভালো ফল দেয় না
Externality	Side effect on others not in the market	তৃতীয় পক্ষের উপর প্রভাব
Market Power	When one firm controls prices	একটি কোম্পানির দাম নিয়ন্ত্রণ
Public Goods	Goods the market won't supply enough	বাজার যা যথেষ্ট সরবরাহ করে না

Positive vs Negative Externality:

Type	Definition	Bangladesh Example
Positive Externality	Good side effect for others	A farmer plants trees → Neighbors enjoy shade & clean air
Negative Externality	Bad side effect for others	Factory dumps waste into river → Fishermen lose their livelihood

BD Bangladesh Example: Garments factories in Dhaka create air and water pollution (negative externality). People living nearby suffer even though they are not buyers or sellers. Government must regulate to protect them — this is where government intervention helps the market.

BD বাংলা সারসংক্ষেপ:

বাজার সবসময় ঠিকঠাক কাজ করে না। যখন বাজার ব্যর্থ হয়, তখন সরকার হস্তক্ষেপ করে। বাংলাদেশে কারখানার দূষণ (নেতিবাচক বাহ্যিকতা) নিয়ন্ত্রণে সরকার আইন করে। আবার শিক্ষায় ভর্তুকি দেওয়া সরকারের ইতিবাচক হস্তক্ষেপের উদাহরণ।

SECTION 3: HOW THE ECONOMY AS A WHOLE WORKS

PRINCIPLE 8 A Country's Standard of Living Depends on Its Ability to Produce Goods and Services

Simple Explanation:

Countries with higher productivity are richer. If workers produce more per hour, the country earns more. This is why some countries are rich and others are poor.

Key Terms:

Term	English Meaning	বাংলা অর্থ
Productivity	Output produced per worker per hour	প্রতি ঘণ্টায় প্রতি শ্রমিকের উৎপাদন
Standard of Living	Quality of life: income, health, education	জীবনমান: আয়, স্বাস্থ্য, শিক্ষা
GDP per capita	Total output divided by population	মোট উৎপাদন ÷ জনসংখ্যা

Rich vs Poor Countries — Why the Difference?

Rich Countries (e.g. USA, Japan)	Poor Countries (e.g. some in Africa)
High productivity per worker	Low productivity per worker
Advanced technology & education	Limited technology & education
Strong institutions, rule of law	Weak institutions, corruption
High GDP per capita	Low GDP per capita

BD Bangladesh Example: Bangladesh's GDP per capita was about \$2,800 in 2023 — higher than 2000 because productivity in garments, agriculture, and services has risen. Investment in education (like stipends for girls) improves future productivity.

BD বাংলা সারসংক্ষেপ:

একটি দেশের জীবনমান নির্ভর করে সেই দেশ কতটুকু উৎপাদন করতে পারে তার উপর। বাংলাদেশে শ্রমিকের দক্ষতা বাড়লে, প্রযুক্তি ব্যবহার বাড়লে উৎপাদনশীলতা বাড়ে এবং মানুষের আয় ও জীবনমান উন্নত হয়।

PRINCIPLE 9 Prices Rise When the Government Prints Too Much Money

Simple Explanation:

Inflation means a general rise in prices. When the government prints too much money, more money chases the same goods. Prices go up. The value of money falls.

🔑 Key Terms:

Term	English Meaning	বাংলা অর্থ
Inflation	General rise in the price level	মূল্যস্তরের সাধারণ বৃদ্ধি
Money Supply	Total amount of money in the economy	অর্থনীতিতে মোট অর্থের পরিমাণ
Hyperinflation	Extremely fast, out-of-control inflation	অত্যন্ত দ্রুত মূল্যবৃদ্ধি
Purchasing Power	How much money can buy	টাকা দিয়ে কতটুকু কিনতে পারা যায়

🏠 Money Supply → Price Level Flow:

Government prints MORE MONEY | $\uparrow$ More money in hands of people | $\uparrow$ Demand for goods RISES | $\uparrow$ Supply of goods stays the same | $\uparrow$ PRICES RISE ==> INFLATION

BD Bangladesh Example: Bangladesh has experienced food price inflation. When money supply grows faster than production (e.g. more rice is not grown), rice prices increase. In 2022–23, global inflation also pushed up prices of fuel, wheat, and edible oil in Bangladesh, hurting the poor.

BD বাংলা সারসংক্ষেপ:

মুদ্রাস্ফীতি (Inflation) মানে সবকিছুর দাম বাড়া। সরকার বেশি টাকা ছাপালে বাজারে অনেক টাকা থাকে, কিন্তু পণ্য সেই পরিমাণে বাড়ে না। ফলে চালের দাম, তেলের দাম, সব বাড়ে। বাংলাদেশে ২০২২-২৩ সালে মূল্যস্ফীতি সাধারণ মানুষের জীবনকে কঠিন করে তুলেছিল।

PRINCIPLE 10 Society Faces a Short-Run Trade-off between Inflation and Unemployment

🔑 Simple Explanation:

In the short run, reducing unemployment may increase inflation, and reducing inflation may increase unemployment. Government policy must balance these two goals.

🔑 Key Terms:

Term	English Meaning	বাংলা অর্থ
Phillips Curve	Shows trade-off between inflation & unemployment	মূল্যস্ফীতি ও বেকারত্বের মধ্যে সম্পর্ক
Short Run	Period when some prices are sticky	স্বল্পমেয়াদ
Long Run	Period when all prices adjust fully	দীর্ঘমেয়াদ

Business Cycle	Ups and downs in economic activity	অর্থনীতির উত্থান-পতন চক্র
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Phillips Curve — Simple Diagram:

Inflation (%) ^ 10| * 8| * 6| * 4| * 2| * +-----> Unemployment (%) 2
4 6 8 10 As Unemployment falls --> Inflation tends to rise (short run) As Unemployment rises --> Inflation tends to fall (short run)

Short Run vs Long Run:

Short Run	Long Run
Trade-off exists between inflation & unemployment	No trade-off — both determined independently
Government spending can boost employment temporarily	Increased spending only raises prices in long run
Prices are 'sticky' — slow to change	All prices fully adjust

BD Bangladesh Example: If Bangladesh Bank lowers interest rates (easy money policy), businesses borrow more, hire more workers → unemployment falls. BUT more money in economy → prices rise → inflation increases. This is the classic short-run trade-off Bangladesh Bank faces.

BD বাংলা সারসংক্ষেপ:

স্বল্পমেয়াদে মূল্যস্ফীতি ও বেকারত্বের মধ্যে একটি বিপরীত সম্পর্ক থাকে — একটি কমলে অন্যটি বাড়ে। বাংলাদেশ ব্যাংক সুদের হার কমালে কর্মসংস্থান বাড়ে কিন্তু মূল্যস্ফীতির ঝুঁকি থাকে। এই ভারসাম্য রক্ষা করাই সরকারের বড় চ্যালেঞ্জ।

MASTER SUMMARY — ALL 10 PRINCIPLES

#	Principle Name	One Line Meaning	Category	বাংলা অর্থ
1	People Face Trade-offs	Every choice has a cost	Individual Decisions	প্রতিটি সিদ্ধান্তে কিছু না কিছু ছাড়তে হয়
2	Cost = What You Give Up	Real cost is opportunity cost	Individual Decisions	সুযোগ ব্যয়ই প্রকৃত খরচ
3	Rational People Think at the Margin	Compare extra benefit vs extra cost	Individual Decisions	অতিরিক্ত লাভ ও খরচ তুলনা করো
4	People Respond to Incentives	Rewards & punishments change behavior	Individual Decisions	পুরস্কার ও শাস্তি আচরণ বদলায়
5	Trade Helps Everyone	Specialization + trade = more for all	Interaction	বিশেষায়ন ও বাণিজ্য সবাইকে লাভ দেয়
6	Markets Are Usually Good	Invisible Hand guides resources	Interaction	বাজারের অদৃশ্য হাত সম্পদ সঠিক জায়গায় পাঠায়
7	Govt Can Improve Markets	Step in when markets fail	Interaction	বাজার ব্যর্থ হলে সরকার হস্তক্ষেপ করে
8	Productivity = Living Standards	Produce more → earn more	Economy Overall	উৎপাদনশীলতা বাড়লে জীবনমান বাড়ে
9	Too Much Money → Inflation	More money → higher prices	Economy Overall	অতিরিক্ত মুদ্রা ছাপলে দাম বাড়ে
10	Inflation vs Unemployment Trade-off	Short-run: one up, other down	Economy Overall	স্বল্পমেয়াদে মূল্যস্ফীতি ও বেকারত্ব বিপরীতমুখী



QUICK REVISION — All 10 Principles

- Principle 1: People face trade-offs — you can't have everything; choosing one thing means giving up another.
- Principle 2: The cost of something is what you give up — opportunity cost is the real price of every decision.
- Principle 3: Rational people think at the margin — compare the extra benefit to the extra cost before deciding.
- Principle 4: People respond to incentives — change rewards or punishments and behavior changes.
- Principle 5: Trade can make everyone better off — countries benefit by specializing and trading.
- Principle 6: Markets are usually good — the invisible hand guides resources through prices without a planner.
- Principle 7: Governments can improve markets — needed when market failures like externalities occur.
- Principle 8: Living standards depend on productivity — countries that produce more per worker are richer.
- Principle 9: Prices rise when government prints too much money — excess money supply causes inflation.
- Principle 10: Short-run trade-off between inflation and unemployment — lower one often raises the other.

GLOSSARY — Key Terms

Term	English Definition	বাংলা অর্থ
Scarcity	Limited resources vs unlimited wants	সম্পদ সীমিত, চাহিদা অসীমিত
Economics	Study of how society manages scarce resources	সম্পদ ব্যবস্থাপনার বিজ্ঞান
Trade-off	Giving up one thing to get another	এক পেতে আরেক ছাড়া
Efficiency	Getting max output from given resources	সম্পদের সর্বোচ্চ ব্যবহার
Equality	Fair distribution of benefits	সমান বণ্টন
Opportunity Cost	Value of next best alternative given up	সেরা বিকল্পের মূল্য যা ছাড়া হয়
Marginal Change	Small incremental adjustment	ক্ষুদ্র পরিবর্তন
Marginal Benefit	Extra benefit of one more unit	অতিরিক্ত একটি ইউনিটের সুবিধা
Marginal Cost	Extra cost of one more unit	অতিরিক্ত একটি ইউনিটের খরচ
Incentive	Something that motivates behavior	যা আচরণ প্রভাবিত করে
Specialization	Focusing on producing one thing best	একটি কাজে বিশেষ দক্ষতা
Invisible Hand	Price signals guide markets without planning	দামের মাধ্যমে বাজারের স্বয়ংক্রিয় পরিচালনা
Market Failure	Market produces inefficient outcomes	বাজারের ব্যর্থতা
Externality	Effect on bystanders not in the market	তৃতীয় পক্ষের উপর প্রভাব
Market Power	Ability of one firm to influence prices	একটি ফার্মের দাম নিয়ন্ত্রণের ক্ষমতা
Productivity	Goods/services produced per hour of work	প্রতি ঘণ্টায় উৎপাদিত পণ্য/সেবা
GDP per capita	Total output ÷ population	মোট উৎপাদন ÷ জনসংখ্যা
Inflation	Increase in overall price level	সার্বিক মূল্যস্তরের বৃদ্ধি
Money Supply	Total money in the economy	অর্থনীতিতে মোট অর্থ
Phillips Curve	Graph showing inflation-unemployment trade-off	মূল্যস্ফীতি-বেকারত্ব সম্পর্কের গ্রাফ
Business Cycle	Fluctuations in economic activity over time	অর্থনৈতিক কর্মকাণ্ডের উত্থান-পতন

? EXAM PRACTICE QUESTIONS

MCQ Section (10 Questions)

1. What does 'scarcity' mean in economics?

- A) There is too much money in the economy
- B) Resources are limited relative to wants ✓**
- C) The government controls all goods
- D) Trade is restricted between countries

Explanation: Scarcity means society's resources (land, labor, capital) are limited but human wants are unlimited. This forces people to make choices.

2. A rickshaw puller spends his day pulling rickshaw instead of resting. The opportunity cost is:

- A) The fuel he uses
- B) The income from fares
- C) The rest and leisure time he gives up ✓**
- D) The cost of the rickshaw

Explanation: Opportunity cost is the value of the BEST alternative given up. Here, the puller gives up rest (leisure), which is his opportunity cost.

3. Marginal thinking means:

- A) Thinking about large changes only
- B) Comparing total benefits to total costs
- C) Comparing extra benefit to extra cost of one more unit ✓**
- D) Ignoring all costs

Explanation: Rational people think at the margin — they compare the marginal (extra) benefit of an action to its marginal (extra) cost.

4. A garments factory pollutes the river near a fishing village. This is an example of:

- A) Positive externality
- B) Market power
- C) Invisible hand
- D) Negative externality ✓**

Explanation: A negative externality is a harmful side effect on people NOT involved in a market transaction. Fishermen suffer from factory pollution.

5. Adam Smith's 'Invisible Hand' refers to:

- A) Government regulation
- B) Price signals guiding resources in a free market ✓**
- C) Central planning
- D) International trade agreements

Explanation: The Invisible Hand is the idea that prices automatically guide individuals' self-interested decisions to benefit the whole economy.

6. If a government prints too much money, what happens?

- A) Unemployment falls
- B) Productivity rises
- C) Prices in the economy rise (inflation) ✓**
- D) GDP per capita falls immediately

Explanation: Excess money supply → more money chasing the same amount of goods → prices rise → inflation. This is Principle 9.

7. Bangladesh specializes in garments and trades with Japan for electronics. This supports:

- A) Principle 1: Trade-offs
- B) Principle 5: Trade makes everyone better off ✓**
- C) Principle 9: Inflation
- D) Principle 7: Government intervention

Explanation: By specializing in what they do best and trading, both Bangladesh and Japan can consume more than if they tried to produce everything themselves.

8. In the short run, according to Principle 10:

- A) Inflation and unemployment always rise together
- B) There is no relationship between inflation and unemployment
- C) Reducing inflation may increase unemployment ✓**
- D) Government cannot affect unemployment

Explanation: The Phillips Curve shows that in the short run, reducing inflation (by tightening money supply) tends to raise unemployment.

9. Which of the following is an IMPLICIT cost?

- A) Rent paid for a shop
- B) Salary of employees
- C) Wages the owner could have earned in another job ✓**
- D) Cost of electricity

Explanation: Implicit costs are hidden costs where no direct payment is made. Opportunity cost of the owner's time is a classic implicit cost.

10. A country's standard of living MOST directly depends on:

- A) Size of its military
- B) Number of its citizens
- C) Its ability to produce goods and services (productivity) ✓**
- D) Amount of gold reserves

Explanation: Principle 8 states that living standards (income, health, education) are tied to how productively a country uses its resources.

Short Answer Section (5 Questions)

Q1. What is the difference between efficiency and equality? Give a Bangladesh example.

Model Answer: Efficiency means getting the maximum output from available resources — the economic pie is as large as possible. Equality means distributing that output fairly among all members of society. These two goals can conflict: for example, in Bangladesh, taxing the rich to give cash transfers (like the social safety net program) to the poor promotes equality but may reduce efficiency if it discourages investment. Policymakers must balance both goals carefully.

Q2. Explain opportunity cost with a Bangladesh example.

Model Answer: Opportunity cost is the value of the next best alternative that is given up when a decision is made. In Bangladesh, if a young man from Sylhet chooses to migrate to Saudi Arabia for work (earning Tk. 30,000/month), his opportunity cost is the best local job he could have gotten — say, Tk. 12,000/month as a factory worker. The opportunity cost is Tk. 12,000/month, even though no money is directly paid.

Q3. What is the 'Invisible Hand'? How does it work in Bangladesh's vegetable market?

Model Answer: The Invisible Hand, as described by Adam Smith, refers to the way free-market prices automatically guide the decisions of buyers and sellers to produce good outcomes for society — without any central planner. In Bangladesh's vegetable market, when tomato prices rise (due to high demand), farmers respond by growing more tomatoes the next season without anyone telling them to. Competition brings prices back to a reasonable level over time. No government plan is needed.

Q4. What is inflation? What causes it according to Principle 9?

Model Answer: Inflation is a sustained increase in the general price level of goods and services in an economy. According to Principle 9, inflation is primarily caused by the government printing too much money. When money supply grows faster than the production of goods, there is more money chasing the same amount of goods, so prices rise. In Bangladesh, rapid growth in money supply or credit expansion can push up the prices of rice, fuel, and basic goods.

Q5. Explain the short-run trade-off between inflation and unemployment.

Model Answer: In the short run, there is an inverse relationship between inflation and unemployment — when one goes up, the other tends to go down. This is shown by the Phillips Curve. If Bangladesh Bank expands the money supply to stimulate the economy, businesses hire more workers (unemployment falls), but the extra money also raises prices (inflation rises). If the government reduces money supply to fight inflation, businesses cut jobs (unemployment rises). In the long run, this trade-off disappears as prices fully adjust.

Analytical / Application Section (3 Questions)

Q1. Scenario: The Bangladesh government announces a Tk. 5 per litre subsidy on diesel for farmers. Using principles from Chapter 1, analyse the likely effects.

Model Answer: Principle 4 (Incentives): The subsidy is a positive incentive — it lowers the cost of diesel, encouraging farmers to use more irrigation and farming equipment. Farmers will respond by producing more crops. Principle 1 (Trade-off): The government must fund this subsidy, which means less money is available for other public spending (schools, hospitals) — a trade-off. Principle 7 (Government Intervention): If markets are not delivering enough agricultural output (market failure), the subsidy is a justified government intervention. Principle 8 (Productivity): If farmers produce more, overall productivity rises and the country's standard of living improves. Conclusion: The subsidy has positive effects on food production but has an opportunity cost for the government budget.

Q2. Scenario: Dhaka's traffic problem. Applying marginal thinking and incentives, suggest two policy solutions.

Model Answer: Marginal Thinking (Principle 3): The government should compare the marginal benefit of each additional car on the road (transportation convenience) with the marginal cost (congestion, pollution, delay). Currently marginal cost far exceeds marginal benefit for society. Policy Solution 1 — Incentive-based (Principle 4): Introduce a congestion charge (toll) for cars entering central Dhaka during peak hours. This increases the cost of driving → fewer drivers enter the city → congestion falls. Solution 2 — Trade-off approach (Principle 1): Invest in the Metro Rail and public buses, providing an alternative. People face a trade-off: pay toll or take metro. This shifts demand from private cars to public transport. Both solutions use price mechanisms and incentives to change driver behavior rather than direct bans.

Q3. Scenario: Bangladesh Bank is worried about both rising inflation (8%) and rising unemployment (6%). Using Principle 10, explain the dilemma and what options the bank has.

Model Answer: Principle 10 states there is a short-run trade-off between inflation and unemployment. This is exactly Bangladesh Bank's dilemma. Option A — Fight Inflation: Bangladesh Bank can raise interest rates (tighten money supply). Effect: Borrowing becomes expensive → businesses invest less → hiring slows or stops → unemployment may rise further. Inflation falls but at the cost of more joblessness. Option B — Reduce Unemployment: Bangladesh Bank can lower interest rates (easy money). Effect: More borrowing → businesses expand → jobs created → unemployment falls. But easier money can raise prices further → inflation worsens. The Dilemma: Bangladesh Bank cannot easily solve BOTH problems at once in the short run. It must prioritize

— most economists advise controlling inflation first, as high inflation is a tax on the poor. In the long run, productivity improvements (education, technology) can lower both inflation and unemployment simultaneously, escaping the trade-off.

Good Luck with Your Exams! অধ্যয়ন করো, সফল হও!

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